WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

CHINA

Asia

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Shanghai (incl. Lingang New Area)	Commercial and financial capital and host of the annual China International Import Expo; Lingang offers a 15% corporate income tax rate for qualifying technology firms	Financial services, integrated circuits, AI, biomedicine, civil aviation
Beijing	Political capital and seat of central regulators; home to a pilot free trade zone and a dense research and technology base	Services, digital economy, R&D, healthcare
Greater Bay Area (Shenzhen, Guangzhou, Qianhai, Hengqin, Nansha)	China's leading manufacturing and innovation cluster, with three FTZ areas and close links to Hong Kong and Macao	Electronics, advanced manufacturing, consumer goods, logistics
Hainan Free Trade Port	Island-wide special customs operations began on 18 December 2025; qualifying companies can pay 15% corporate income tax through 2027	Tourism and duty-free retail, healthcare, modern services, logistics
Yangtze River Delta (Jiangsu, Zhejiang)	Deep manufacturing and supplier base around Shanghai, hosting many established foreign-invested enterprises	Advanced manufacturing, chemicals, e-commerce, automotive supply chain
Chengdu–Chongqing and the western FTZs	Fast-growing inland hub with pilot FTZs across Chongqing, Sichuan, Shaanxi, Guangxi and Yunnan, linked to overland routes to Europe and South-East Asia	Electronics assembly, automotive, logistics, consumer markets
Pilot Free Trade Zones (23 nationwide)	Network of zones operating a shorter 27-item FTZ negative list, most recently extended to Inner Mongolia in April 2026	Trade, services opening, cross-border finance, manufacturing

INVESTOR ENTRY ROUTES

- Ministry of Commerce (MOFCOM) and its Invest in China investment promotion services, alongside provincial and municipal commerce bureaus that lead day-to-day investor facilitation
- Foreign Investment Law framework with national treatment outside the 2024 national negative list, which has been cut to 29 restricted or prohibited items
- 23 pilot Free Trade Zones operating a shorter 27-item negative list, plus the Hainan Free Trade Port with island-wide special customs operations since December 2025

- Preferential tax regimes, including a 15% corporate income tax rate for qualifying firms in Hainan and in Shanghai's Lingang New Area
- People's Bank of China and State Administration of Foreign Exchange (SAFE) oversight of a managed renminbi; profit repatriation operates through banks on documented transactions within China's capital-account framework
- Cross-border data routes under the Personal Information Protection Law (CAC security assessment, standard contract, or certification, the latter in force since 1 January 2026)
- Joint ventures and partnerships with Chinese companies and local governments for sectors that remain on the negative list

MARKET-ENTRY OBSERVATION

China in October 2026 remains the world's largest manufacturing base, with growth that continues to outpace most major economies. GDP grew 5.0% in 2025, surpassing 140 trillion yuan, and expanded 4.7% in the first half of 2026 (5.0% in Q1 and 4.3% in Q2) against a 2026 target of 4.5–5%. Innovation is a clear driver: high-tech manufacturing value added rose 13.3% and equipment manufacturing 9.3% in H1 2026, while goods exports rose 13.4% in yuan terms. Foreign investors are still establishing new businesses at pace: 70,392 foreign-invested enterprises were set up in 2025 (+19.1%) and 37,711 in January–July 2026 (+4.4%). Actual use of foreign investment was 747.69 billion yuan ($106.92 billion) in 2025, down 9.5%, and 438.33 billion yuan in January–July 2026, down 6.2%, but high-tech industries' share has risen to 41.6%. Liberalisation continues through a shorter national negative list, 23 pilot FTZs and the launch of Hainan's island-wide customs operations in December 2025.

China's main structural challenge is twofold: rebalancing growth towards household demand, and operating within an increasingly regulated technology and trade relationship with the United States. Consumer prices rose 0.9% in September 2026 and retail sales 2.7% in H1, while fixed-asset investment fell 5.7% amid the continuing property adjustment. Policy remains supportive, with the one-year and five-year loan prime rates at 3.0% and 3.5% and the seven-day reverse repo rate at 1.4%, and foreign-exchange reserves of $3.40 trillion provide a deep external buffer. On the external side, the US–China trade truce agreed in late 2025 has been extended to 10 January 2027, and leaders met in Beijing in May and Washington in September 2026. For investors, the result is a market where resilience comes from scale and supply-chain depth, mitigation comes from rigorous dual-jurisdiction compliance, and the opportunity lies in consumption, services opening and advanced manufacturing for the domestic market.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
US export controls and the Entity List	US Export Administration Regulations restrict exports of advanced chips, chipmaking tools and other controlled items to China, and Entity List designations require licences for listed Chinese companies; the 50% "Affiliates Rule" was suspended for one year from November 2025 and could be reinstated	Screen counterparties and their owners against US, UK and EU lists with export-control counsel, obtain licences where required, and focus on uncontrolled commercial sectors
US outbound investment rules	Since 2 January 2025, US persons are prohibited from, or must notify Treasury of, certain investments in Chinese semiconductors, quantum and AI; the COINS Act in the FY2026 NDAA codifies these rules and extends them to hypersonics and high-performance computing	US investors and funds with US partners should obtain legal review before any technology deal; consumer, services, healthcare and most manufacturing remain outside scope
China's counter-measures and conflict of laws	The Anti-Foreign Sanctions Law (2021), Unreliable Entity List, MOFCOM blocking rules and two April 2026 regulations on extraterritorial jurisdiction and supply-chain security allow action against firms that implement foreign sanctions or cut off Chinese counterparties	Agree documented compliance protocols with counsel in both jurisdictions, use available licence and exemption routes, and plan for staff mobility issues
Chinese export controls and data laws	China's Export Control Law covers critical minerals such as rare earths, with October	Map data flows and critical-mineral inputs early, use the standard-contract or

Issue	Potential Impact	Possible Mitigation
	2025 expansions paused under the truce; the Data Security Law and PIPL govern data exports through CAC assessment, standard contract or certification	certification routes, and keep alternative supply arrangements
Tariff and trade-policy uncertainty	The US Supreme Court struck down emergency tariffs in February 2026, but other US duties remain and the bilateral truce runs to 10 January 2027; exports to the US fell 20% in 2025	"China-for-China" strategies serving domestic demand reduce exposure; Chinese exports to ASEAN (+13.4%) and the EU (+8.4%) show strong diversification
Domestic demand and property adjustment	Low inflation, modest retail growth and falling fixed-asset investment reflect the property-sector adjustment	Policy is focused on boosting consumption and services, creating openings in consumer brands, healthcare, eldercare and leisure
Market access and level playing field	Restrictions remain in 29 negative-list sectors, and US assessments continue to cite regulatory opacity and IP enforcement concerns	Use FTZ and Hainan liberalisation, register IP early in China, and use specialist IP courts and arbitration

INVESTOR RISK NOTE

China combines unmatched scale, deep supply chains and strong innovation momentum with a legal environment that investors need to manage carefully. The material compliance considerations are clear and should be addressed at the outset. US export controls and Entity List designations restrict dealings in advanced technology and with listed companies. US outbound investment rules prohibit or require notification of certain US-person investments in Chinese semiconductors, quantum and AI, and the COINS Act extends this to further sectors. Supply chains linked to Xinjiang are subject to the US Uyghur Forced Labor Prevention Act. China's Anti-Foreign Sanctions Law, Unreliable Entity List, blocking rules and the April 2026 extraterritorial-jurisdiction and supply-chain regulations can expose firms that apply foreign restrictions to Chinese counter-measures, and data and export-control laws govern cross-border data and critical minerals. These rules do not prevent investment in China's large consumer, services, healthcare and general manufacturing sectors, and the extension of the US–China truce to January 2027 has reduced near-term volatility. Investors should obtain sanctions and export-control advice in both jurisdictions, screen counterparties and ownership chains, and build structures that are compliant on both sides.

MARKET ACCESS

China has been a WTO member since 2001 and is a founding party to the Regional Comprehensive Economic Partnership (RCEP), the world's largest free trade agreement, alongside a broad network of bilateral FTAs including with ASEAN. It has applied to join the CPTPP and the Digital Economy Partnership Agreement. Total goods trade exceeded 45 trillion yuan ($6.4 trillion) in 2025, with a record $1.2 trillion surplus. Trade is diversifying quickly: exports to ASEAN rose 13.4%, to the EU 8.4% and to Africa 25.8% in 2025, while exports to the US fell 20%. ASEAN, the EU and the US are the main export markets, connected by the Belt and Road Initiative, China–Europe rail freight and world-leading container ports. For investors, China offers both a vast domestic market and a regional production platform with preferential access across Asia.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Xi Jinping) and the State Council (Premier Li Qiang)	Set national strategy, including the 15th Five-Year Plan (2026–2030), opening-up policy and annual growth targets	Primary reference point for China's policy direction and priority sectors
Ministry of Commerce (MOFCOM) and Invest in China	Leads foreign investment policy, the negative list, trade negotiations and the Unreliable Entity List	Standard first point of contact for market entry, and key counterpart on trade-policy matters

Actor	Why It Matters	Waverley Engagement Angle
People's Bank of China (PBOC)	Central bank; sets monetary policy and the loan prime rate framework and oversees the renminbi	Relevant for financing conditions, currency and financial-sector entry
State Administration of Foreign Exchange (SAFE)	Manages foreign-exchange reserves and capital-account rules, including profit repatriation	Essential for structuring capital flows and repatriation
National Development and Reform Commission (NDRC)	Economic planning agency that co-issues the negative list and approves major projects	Relevant for large-scale projects and sector policy
Cyberspace Administration of China (CAC)	Regulates cybersecurity and cross-border data transfers under the PIPL and Data Security Law	Key regulator for any data-intensive or digital investment
China Council for the Promotion of International Trade (CCPIT)	National trade-promotion body and business convenor, with links to arbitration services	Useful channel for business delegations, matchmaking and trade fairs

CURRENT INTERNATIONAL BUSINESS CHANNELS

The China-Britain Business Council and the British Chamber of Commerce in China are the main channels for UK companies, alongside the American Chamber of Commerce in China and the European Union Chamber of Commerce in China, which publish regular business-confidence surveys and run active regulatory dialogue. CCPIT and provincial commerce bureaus organise investment matchmaking and delegations. Major forums include the China International Import Expo in Shanghai, the China Development Forum in Beijing and the World Economic Forum's Annual Meeting of the New Champions. The World Bank, IFC and Asian Development Bank remain active in China, and the Beijing-based Asian Infrastructure Investment Bank and the Shanghai-based New Development Bank are useful contacts for regional infrastructure finance.

INVESTOR PROFILE BEST SUITED

China best suits investors with clear sector focus and strong compliance capacity: consumer, retail and brand investors addressing a market of 1.4 billion people; healthcare, eldercare and life-sciences firms responding to demographic change; advanced-manufacturing and industrial investors pursuing "China-for-China" production and access to the world's deepest supplier base; and financial-services and asset-management firms using steady financial-sector opening. Green-energy and electric-vehicle supply-chain partners can benefit from China's scale in batteries and renewables. Investors in sensitive technology, and any investor that is a US person or has US connections, should first confirm what is lawfully permissible under export-control and outbound investment rules.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Commission a dual-jurisdiction compliance review
Obtain sanctions, export-control and outbound-investment advice covering US, UK and EU rules alongside China's counter-measures and data laws before committing capital.

STEP 2: Engage MOFCOM, Invest in China and target local governments
Confirm negative-list status, sector incentives and approval routes, and compare packages offered by provincial and municipal authorities.

STEP 3: Assess FTZ, Hainan and Lingang structuring options
Evaluate pilot FTZs, the Hainan Free Trade Port and Shanghai's Lingang New Area for wider market access and 15% tax-rate eligibility.

STEP 4: Plan data, IP and supply-chain arrangements early
Map cross-border data flows to the correct CAC route, register intellectual property in China and screen supply chains for forced-labour and critical-mineral exposure.

STEP 5: Track US–China negotiations and policy calendars
Monitor the trade truce running to 10 January 2027, the status of the Affiliates Rule and COINS Act regulations, and 15th Five-Year Plan priorities.